



The Lessons of Bhopal

Bhopal was a nightmare come true. "Bhopshima" was a befitting name given to it by the greatest living Indian jurist, Justice Krishna Iyer. Public angst required the State to act; the CBI swung into action and found the directors of Union Carbide guilty of a host of provisions of the Indian Penal Code. In a challenge to the framing of charges by Keshub Mahindra, the Supreme Court (in 1996) struck down all the charges for culpable homicide and the like. However, unsurprisingly the court did not quash the trial. It held that the directors could be held to be prima facie guilty of an offence under Section 304 A viz. causing death by "doing a rash or negligent act not amounting to culpable homicide", since at that stage (before the trial had begun) it cannot be said that the material, even prima facie, did not point out culpability. "In running a defective plant of having a number of operational defects and in being prima facie guilty of illegal omissions to take measures in running such a limping plant on that fateful night which resulted into this colossal tragedy". The double negative was significant. In small companies—glorified partnerships as they are sometimes called—the corporate veil does not shield those who carry on their affairs with careless disregard for safety, violating safety norms for private profit.

However, the position of professional directors on the board of industrial companies is far more complex. It is obvious that on the path to economic growth, India must accept a sensible balance between industrial activity, which may someday by accident cause injury to person or property, and the need for accountability and liability of those who administer such industries for gain. Indisputably, the corporate entity would be liable—the Nuclear Liability Bill, for example, makes the operator liable for damage irrespective of whether or not there is negligence. The cause for concern is the exposure to criminal sanction of those on the board of such companies.

Where there is no negligence, there is no liability in criminal law. However, the converse is not true. Merely because there is criminal liability, every director of such a corporation cannot be held to be personally culpable. If there is a fire in the mine of a steel company due to negligence of the local manager, would it mean that the entire board

of the company must spend two years in jail? Imagine what would happen if there was a fire in an IOC refinery (perish the thought) and all the civil servants on the board were similarly prosecuted if it is shown that there was negligence in the design or operations of such refinery.

The law requires that the person should be guilty of an act or omission which constituted the negligence which in turn resulted in the accident. If the board of directors are knowingly party to a decision that compromises safety, they may become be liable. If the board fails to put in place a system of management which pays due heed to safety, they may be guilty of an omission which is culpable. Beyond that, can it be said that professional directors are liable to criminal sanction if it is established that there was some negligence at some level of management in operating a plant? The answer to this question must be given,

away from the dust and din of politics, and away from the grim images of Bhopal.

We should not forget the lessons of Bhopal or to forgive those who may have caused that tragedy. It is equally important to prevent our society from degenerating into a lynch mob which where we must draw some blood for this horrific tragedy. Corporate management would gain immeasurably by independent professionals joining the board of widely held companies. Such persons would be, in the ultimate analysis, the best safeguard against avaricious practices which compromise public health and safety. And prevention is a million times better than cure.

If the provisions of Section 304 are construed as making professional directors held culpable in all events, it will only deter good people from joining the board. The avaricious managers in any case do not care for the law, they are protected by the ubiquitous KNH factor—*kuch nahi hota, yaar*.

One option is to set up a statutory regulator to audit the safety of industrial enterprises and to recommend measures that would meet the safety norms. The law on the subject lacks clarity and unfortunately, more than 25 years on, Parliament has not considered it fit to bestow its attention on this vital matter. Maybe the debate on the Nuclear Liability Bill may help focus on the larger issue of safety of industrial enterprise and of corporate liability of directors.

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